5 Ethics and Social Responsibility in International Business

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LEARNING OBJECTIVES

5.1. Describe the nature of ethics.

5.2. Discuss ethics in cross-cultural and international contexts.

5.3. Identify the key elements in managing ethical behavior across borders.

5.4. Discuss social responsibility in cross-cultural and international contexts.

5.5. Identify and summarize the basic areas of social responsibility.

5.6. Discuss how organizations manage social responsibility across borders.

5.7. Identify and summarize the key regulations governing international ethics and social responsibility.

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8 percent of all U.K. tea sales despite the profound ethical benefits involved in buying this tea as at the end of the day, the consumer may think twice about paying a premium especially if they are not aware of the meaning of the FAIRTRADE mark. Recently, however, shoppers' demand for transparency and accountability has been driving companies to consider sustainability and the ethics of their operations, and that is reflected in the steady growth in Fairtrade sales over the last few years. As sales of Fairtrade continue to grow, the premium collected can be reinvested in making production cheaper and it allows Fairtrade to continue to work with companies and workers towards eliminating exploitation and achieving more sustainable livelihoods for the farmers and their families. It also creates a reason for producers to build stronger and longer lasting relationships with suppliers through initiatives such as the Fairtrade Partnerships program that encourages traceability in supply chains and eliminates disingenuous 'greenwashing' that might have spread without Fairtrade's existence.[1]

Globalization offers businesses, employers, and entrepreneurs myriad opportunities to seek new markets, broaden their product lines, and lower their cost of production. And the introduction of new ways of doing business, or new products, can bring major improvements into the lives of the financially well-off and those that are not, as the Kenyan tea farmers and plantation workers can attest. But globalization also presents international businesses with new challenges, such as the need to define appropriate ethical standards and to operate in a socially responsible manner in all the markets and countries in which the firm does business.

One important issue is the firm's responsibility to provide a safe working environment for its employees and diligent protection of the natural environment. Another issue is the appropriate response to the cost pressures that firms face as a result of globalization. It has long been common for firms to move production and low-skill jobs from their home country to other countries, often to capitalize on lower labor costs. But these practices sometimes result in unfavorable publicity and may even expose fundamental issues associated with potential human rights violations. For instance, for years large fruit juice distributors such as Minute Maid, Tropicana, and Nestlé bought fruit juices from suppliers in South America. Many of these suppliers relied heavily on child labor to harvest oranges, lemons, and other fruits. Children as young as nine years old were commonly taken out of school by their impoverished parents and put to work in the citrus groves. These parents often saw no problem with this behavior because they themselves had also picked fruit as children. A similar set of issues were raised regarding the chocolate industry's purchasing of cocoa from West African plantations that employed an estimated 2.3 million children, some of whom were allegedly treated no better than slaves.[2]

However, the issues may not be as clear as they might at first seem. For example, many people from developed countries would agree that it is unethical for a business to outsource production to an offshore factory that relies on child labor or that maintains unsafe working conditions. But people in that country might argue that as unattractive as they might seem to outsiders, those jobs are superior to the ones that would otherwise be available. Similarly, high levels of mandatory overtime work may be viewed differently by workers in developing countries than by labor rights advocates from rich countries.

This chapter explores these and other issues from an international business perspective. We first examine the nature of ethics and social responsibility in international business. We then discuss ethics in cross-cultural and international contexts. Next, we describe how firms attempt to manage ethical behavior across borders. Social responsibility in cross-cultural and international contexts is then introduced and discussed. After describing the major areas of social responsibility, we discuss how firms manage social responsibility across borders. Finally, we conclude with a summary of some of the major laws that attempt to regulate international ethics and social responsibility.

The Nature of Ethics and Social Responsibility in International Business

5.1. Describe the nature of ethics.

The fundamental reason for the existence of a business is to create value (usually in the form of profits) for its owners. Furthermore, most individuals work to earn income to support themselves and their families. As a result, the goal of most of the decisions made on behalf of a business or an individual within a business is to increase income (for the business or the individual) or reduce expenses (again, for the business or the individual). In most cases businesspeople make decisions and engage in behaviors, for both their personal conduct and the conduct of their organizations, that are acceptable to society. But sometimes they deviate too much from what others see as acceptable.

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In recent years, it seems that the incidence of unacceptable behaviors on behalf of businesses or people within businesses has increased. Regardless of whether this increase is real or only illusory, such high-profile and well-documented cases as Enron, WorldCom, Tyco, and Arthur Andersen have certainly captured the attention of managers, investors, and regulators everywhere. Nor has this been a distinctly U.S. problem. Businesses such as Volkswagen (a German automobile company that falsified emissions tests), Satyam Computer Services (an Indian computer services firm engaged in wholesale accounting fraud), Royal Ahold NV (a Dutch grocery chain admitting to accounting irregularities), and Nestlé (a Swiss firm accused of violating World Health Organization codes controlling the marketing of infant formula in less-developed countries) have also caught their share of attention for improprieties, real or imagined.[3] Hence, just as the business world is becoming increasingly internationalized, so too is the concern for ethical and socially responsible conduct by managers and the businesses they run.

We define **ethics** as an individual's personal beliefs about whether a decision, behavior, or action is right or wrong.[4] Hence, what constitutes ethical behavior varies from one person to another. For instance, one person who finds a 20-euro banknote on the floor of an empty room may believe that it is okay to simply keep it, whereas another may feel compelled to turn it in to the lost-and-found department and a third to give it to charity. Further, although ethics is defined in the context of an individual's belief, the concept of **ethical behavior** usually refers to behavior that conforms to generally accepted social norms. **Unethical behavior**, then, is behavior that does not conform to generally accepted social norms.

A combination of factors determines an individual's ethics. People start to form ethical frameworks as children in response to their perceptions of the behavior of their parents and other adults they deal with. As children grow and enter school, they are influenced by peers with whom they interact in the classroom and playground. Everyday occurrences that force the participants to make

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Danone SA, France's largest food conglomerate, has teamed with Bangladesh's Grameen Bank to create Shoktidoi yogurt as a means of addressing the twin problems of malnutrition and rural poverty. The fortified yogurt provides children with 30 percent of their daily nutritional needs. The company recruits local villagers as distribution agents, thus providing a new source of employment for the rural population.

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an organizational one. In general, the relationship between an organization and its environment revolves around the concept of social responsibility, a topic we address later in this chapter. But as we discuss ethics per se in the first part of the chapter, keep in mind that we are focusing on individuals in organizations, as opposed to the organization itself.

In Practice

- Ethics is defined as an individual's personal beliefs about whether actions are right or wrong.
- National customs and cultures often shape ethical perspectives.

For further consideration: Talk to two or three of your classmates about what they would do if they found a $20 bill on the floor of an empty classroom. Did you all agree on the "right" thing to do? Did your own answer change as a result of your conversations?

Ethics in Cross-Cultural and International Contexts

5.2. Discuss ethics in cross-cultural and international contexts.

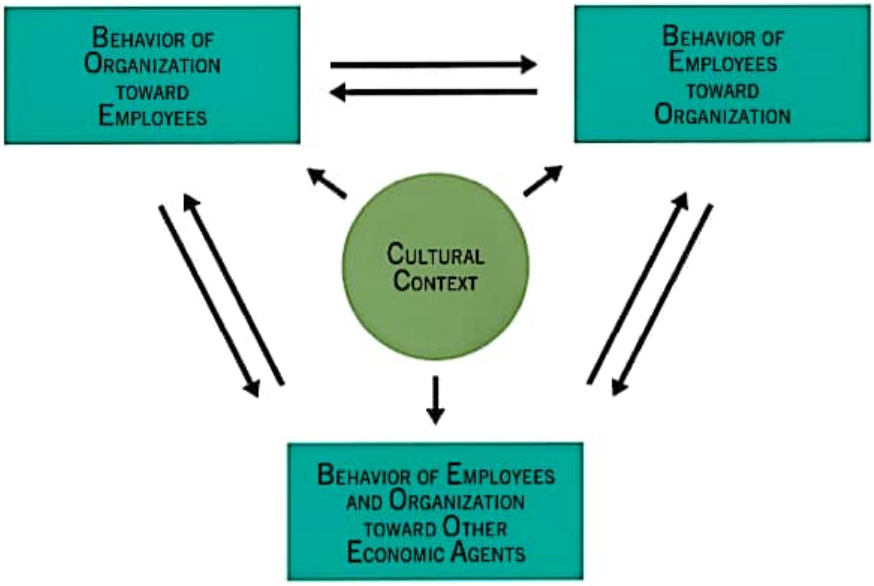
A useful way to characterize ethical behaviors in cross-cultural and international contexts is in terms of how an organization treats its employees, how employees treat the organization, and how both the organization and its employees treat other economic agents. These relationships are illustrated in Figure 5.1.

How an Organization Treats Its Employees

One important area of cross-cultural and international ethics is the treatment of employees by the organization. At one extreme, an organization can strive to hire the best people, to provide ample opportunity for skills and career development, to offer appropriate compensation and benefits, and to generally respect the personal rights and dignity of each employee. At the other extreme, a firm can hire using prejudicial or preferential criteria, can intentionally limit development opportunities, can provide the minimum compensation allowable, and can treat employees callously and with little regard to personal dignity.

In practice, the areas most susceptible to ethical variation include hiring and firing practices, wages and working conditions, and employee privacy and respect. In some countries both ethical and legal guidelines suggest that hiring and firing decisions should be based solely on an individual's ability to perform the job. But in other countries it is perfectly legitimate to give

FIGURE 5.1
Ethics in a Cross-Cultural Context



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Russian media outlets boycotted the legislature. While in some countries, such as Afghanistan and Pakistan, the #MeToo movement has achieved only modest visibility because women in those countries fear reprisals and backlash if they come forward, international businesses that fail to confront sexual harassment at the very least face public censure, as well as expose themselves to lawsuits, fines, and demoralization of their work forces.[7]

How Employees Treat the Organization

Numerous ethical issues also relate to how employees treat the organization. The central ethical issues in this relationship include conflicts of interest, secrecy and confidentiality, and honesty. A conflict of interest occurs when a decision potentially benefits the individual to the possible detriment of the organization. Ethical perceptions of the importance of conflicts of interest vary from culture to culture. Consider the simple example of a supplier offering a gift to a company employee. Some companies believe that such a gift can create conflicts of interest. They fear that the employee will begin to favor the supplier that offers the best gifts, rather than the supplier whose product is best for the firm. To guard against such dangers, many companies have policies that forbid their buyers from accepting gifts from suppliers. Some U.S. newspapers and broadcast media, such as the *New York Times*, even refuse to allow their employees to accept free meals for fear that their journalistic judgments and integrity might be compromised.

But in other countries exchanges of gifts between a company's employees and its customers or suppliers is perfectly acceptable. In Japan, for instance, such exchanges are common (and expected) during the *ochugen* and *oseibo* gift-giving periods. Ochugen, which occurs in July, originally developed to pay homage to the spirit of one's ancestors, although it has evolved to reflect one's best wishes for summer. Oseibo gifts, which are offered in December, represent a token of gratitude for favors and loyalty shown throughout the year. Japanese department stores helpfully stock their shelves with appropriate goods at every price level during ochugen and oseibo. Well-defined cultural norms govern the level and appropriateness of the gifts to be exchanged by businesspersons, which depends on the nature of the business relationship, its length, and the amount of business transacted. Note, however, that determining an appropriate gift by the amount of business transacted is exactly the kind of behavior that arouses suspicion of conflict of interest in many North American and European companies.

China offers a similar set of challenges to firms wishing to control conflicts of interest. Much business in China is conducted through *guanxi*, which is based on reciprocal exchanges of favors. Because of the importance of guanxi, North American and European firms operating in China often face a difficult task in adapting to the norms of Chinese business culture while continuing to honor company policy regarding conflicts of interest. Typically, one finds that in high-context, collectivist, and power-respecting cultures, gift exchanges are a more important part of the way business is done than in low-context, individualistic, and power-tolerant cultures.

Divulging company secrets is viewed as unethical in some countries, but not in others. Employees who work for businesses in highly competitive industries—electronics, software, and fashion apparel, for example—might be tempted to sell information about company plans to competitors. Consider the plight of Durawool, a U.S. steel-wool manufacturer. It was shocked to learn that Chinese law offered it little protection when one of its local employees left the company's Chinese subsidiary and promptly started a rival firm using Durawool's technology.[8] Motorola and SI Group, a U.S. chemical manufacturer, engaged in drawn-out legal struggles with former Chinese managers they accused of similar behaviors.[9]

A third area of concern is honesty in general. Relatively common problems in this area include such things as using a company computer and printer to support a spouse's home-based business, stealing supplies, and padding expense accounts. In some business cultures, such actions are viewed as unethical; in others, employees may develop a sense of entitlement and believe that "if I am working here, then it is the company's responsibility to take care of my needs." The potential for conflict is clear when individuals from such divergent ethical perspectives work together.

How Employees and the Organization Treat Other Economic Agents

The third major perspective for viewing ethics involves the relationship between the firm and its employees with other economic agents. The primary agents of interest include customers, competitors, stockholders, suppliers, dealers, and labor unions. The behaviors between the organization

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and these agents that may be subject to ethical ambiguity include advertising and promotions, financial disclosures, ordering and purchasing, shipping and solicitations, bargaining and negotiation, and other business relationships.

For example, businesses in the global pharmaceuticals industry have been under growing criticism because of the rapid escalation of the prices they charge for their newest and most powerful drugs.[10] These firms argue that they need to invest heavily in research and development programs to develop new drugs, and higher prices are needed to cover these costs. Yet given the extent of the public health crises that plague some areas of the world—such as HIV/AIDS in sub-Saharan Africa—some activists argue that the pharmaceutical manufacturers should lower their prices or relax their patent protection so that patients in poorer countries can afford to purchase the drugs needed to treat such diseases. Another growing concern in recent years involves financial reporting by businesses. Because of the complexities inherent in the finances of large MNCs, some of them have been aggressive in presenting their financial positions in a positive light. And in at least a few cases, some managers have substantially overstated their earnings projections or hidden financial problems so as to entice more investors.[11]

Differences in business practices across countries create additional ethical complexities for firms and their employees. In some countries, small bribes and side payments are a normal and customary part of doing business; foreign companies often follow the local custom regardless of what is considered an ethical practice at home. In China, for instance, local journalists expect their cab fare to be paid if they are to cover a business-sponsored news conference. In Indonesia, the normal time for a foreigner to get a driver's license is more than a year, but it can be "expedited" for an extra $100. And in Romania, building inspectors routinely expect a "tip" for a favorable review.[12]

At times, however, the sums involved are not small. A U.S. power-generating company lost a $320 million contract in the Middle East because government officials demanded a $3 million bribe. A Japanese firm paid the bribe and won the contract. Enron allegedly had a big project in India canceled because newly elected officials demanded bribes. Although such payments are illegal under U.S. law (as well as the laws of several other countries), managers nonetheless dislike losing important contracts to less ethical rivals.

In Practice

- National cultures often view common business practices differently. A gift may be viewed as an appropriate acknowledgement of a business relationship in one culture but as a bribe in another culture.
- International businesses need to develop policies to deal with these differences in national cultures and then clearly communicate their expectations to their employees.

For further consideration: If a company purchases a vital component from a foreign supplier, is the company responsible for how that supplier treats its own employees?

Managing Ethical Behavior across Borders

5.3. Identify the key elements in managing ethical behavior across borders.

Ethics reside in individuals, but many businesses nevertheless endeavor to manage the ethical behavior of their managers and employees by clearly establishing the fact that they expect them to engage in ethical behaviors. They also want to take appropriate steps to eliminate as much ambiguity as possible about what the companies view as ethical versus unethical behavior. The most common ways of doing this are through the use of guidelines or codes of ethics, ethics training, and organizational practices and the corporate culture.

Guidelines and Codes of Ethics

Many large multinationals, including Toyota, Siemens, General Mills, and Johnson & Johnson, have written guidelines that detail how employees are to treat suppliers, customers, competitors, and other stakeholders. Others, such as Philips, Nissan, Daewoo, Whirlpool, and Hewlett-Packard, have developed formal **codes of ethics**—written statements of the values and ethical standards that guide the firms' actions. However, the mere existence of a code of ethics does not ensure ethical behavior. It must be backed up by organizational practices and the company's corporate culture. (See "Venturing Abroad.")

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VENTURING ABROAD

PAYING THE PRICE?

Rolls-Royce, the U.K.-based multinational company involved in the sectors of automobile, defense, aerospace, energy, and marine propulsion, offers food for thought to companies that are faced with the temptation of paying bribes to win lucrative foreign contracts. In 2017, the engineering giant had to pay a fine of £671 million to the U.K. Serious Fraud Office (SFO) after lengthy investigations into claims that it had paid bribes to key politicians and officers to obtain export contracts. Rolls-Royce agreed to settle the charges with the SFO, making a deferred prosecution agreement (DPA) and paying a hefty sum in fines to avoid being prosecuted by anti-corruption investigators in Brazil, the United States, and the United Kingdom. The DPA was the result of a parallel and simultaneous coordinated enforcement action against the company in all three countries based on a four-year investigation into Rolls-Royce's involvement in bribery schemes.

However, the company's misdeeds extended those three countries. In 2016, a joint investigation by *The Guardian* and the BBC revealed that Rolls-Royce had been in the practice of hiring 'commercial agents' to act as middlemen to win high-value contracts with foreign governments and bidders in 12 countries. After the SFO enquiry, evidence surfaced of Rolls-Royce having relationships with Unaoil, a Monaco-based firm previously accused of using bribes to land contracts for multinationals. Similarly, there is proof that the British company hired Fana Hlongwane, a South African businessman with ties to the ANC government and who had also been previously implicated in corruption scandals as a commercial consultant to promote its business. In Indonesia, it reportedly paid $2.2 million and even offered a Silver Spirit car to another commercial agent for special consideration over a contract for Trent 700 airplane engines. It was further revealed, in 2016, that a few Thai government officials had received bribes from Rolls-Royce during the 1980s and 1990s. Therefore, in 2018, the announcement that Thai Airways International was undertaking maintenance and repairs of Rolls-Royce Trent engines and had become a Rolls-Royce maintenance hub did not come as a surprise.

In response to the allegations, Rolls-Royce plc issued a statement that "Rolls-Royce will not tolerate business misconduct or inappropriate behavior of any kind" and committed to making ethics and compliance a primary focus in its international operations. After the bribery allegations surfaced in 2015, the company dramatically reduced the number of foreign agents it used and described the charges of corruption as a "body blow" in its annual reports. Unfortunately for Rolls-Royce, this did little to offset the further penalties they would have to pay in 2016 when more evidence of wrongdoing would surface.

Some retribution for the misconduct was enacted at the individual level. Three former energy division employees directly involved in the bribery schemes division pleaded guilty to bribing foreign government officials in 2017 in charges raised against them individually. However, criticism was raised when the SFO announced it was shutting down ongoing investigations to establish which senior executives were responsible for using huge bribes to win export contracts for Rolls-Royce. Anti-corruption campaigners felt that the huge fines paid to the SFO were a light punishment and a means to avoid criminal prosecution, doing little justice and enabling RollsRoyce to continue its unethical behavior. Described as "proof the UK is not willing to prosecute a large, politically connected company" by anti-corruption campaigner Corruption Watch, there was speculation that the company's close relations with the British government officials across all parties prevented an appropriate reprisal. Transparency International, an anti-corruption NGO, explained that a DPA can be truly effective when it is followed up with prosecution action against those who are responsible for corruption and bribery. Else cases like that of Rolls-Royce come dangerously close to sending a message to companies that, if they flagrantly break the law and engage in serious corruption, they can buy their way out of punishment.

Sources: "Forensic & Integrity Services," *UK Bribery Digest*, March 2018; "Rolls-Royce Middlemen May Have Used Bribes to Land Major Contracts," *The Guardian*, October 31, 2016; "Rolls-Royce to Pay £671m over Bribery Claims," *The Guardian*, January 16, 2017; "Campaigners Condemn Closure of Rolls-Royce Bribery Inquiry," *The Guardian*, February 22, 2019; "Rolls-Royce's Indian Jet Engine Bribes," World Peace Foundation, accessed May 3, 2019; "Bribes Forgotten as Thai Becomes Rolls-Royce Maintenance Hub," *Bangkok Post*, June 8, 2018; Serious Fraud Office, *Rolls-Royce PLC*, https://www.sfo.gov.uk/cases/rolls-royce-plc/; "Rolls-Royce Apologises after £671m Bribery Settlement," https://www.bbc.com, January 18, 2017; "Rolls-Royce Trio Plead Guilty to Corruption Charges in US," *The Guardian*, November 8, 2017.

A multinational firm must decide as to whether to establish one overarching code for all of its global units or to tailor each one to its local context. Similarly, if a firm acquires a new foreign subsidiary, it must also decide whether to impose its corporate code on that subsidiary or allow it to retain the one it may have already been following. For a code to have value, of course, it must be clear and straightforward, it must address the major elements of ethical conduct relevant to its environment and business operations, and it must be adhered to when problems arise. In one classic folly, Enron's board of directors was once presented with a potentially lucrative venture that contradicted the firm's code of ethics. So what did the board do? It voted to set aside the code of ethics, approved the business venture, and then reinstated the code of ethics!

Ethics Training

Some MNCs address ethical issues proactively, by offering employees training in how to cope with ethical dilemmas. At Boeing, for example, line managers lead training sessions for other employees, and the company also has an ethics committee that reports directly to the board of

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directors. The training sessions involve discussions of different ethical dilemmas that employees might face and how they might best handle those dilemmas.

Again, one decision for international firms is whether to make ethics training globally consistent or tailored to local contexts. Regardless of which approach they use, though, most multinationals provide expatriates with localized ethics training to better prepare them for their foreign assignments. BP, for instance, prepares managers at its headquarters in London for future assignments to Russia by having them undergo training in the Russian language as well as in local business customs and practices and ethics.

Organizational Practices and the Corporate Culture

Organizational practices and the corporate culture also contribute to the management of ethical behavior. If the top leaders in a firm behave in an ethical manner and violations of ethical standards are promptly and appropriately addressed, then everyone in the organization will understand that the firm expects them to behave in an ethical manner—to make ethical decisions and to do the right things. But if top leaders appear to exempt themselves from ethical standards or choose to ignore or trivialize unethical behaviors, then the opposite message is being sent—that it is acceptable to do something that is unethical if you can get away with it.

One recent survey sheds some interesting light on how these practices are implemented in various countries. The survey focused specifically on the acceptability of bribing officials when doing business in foreign countries. This survey found that Russian, Chinese, Taiwanese, and South Korean firms found bribery to be relatively acceptable. Among the countries that found bribery to be unacceptable were Australia, Sweden, Switzerland, Austria, and Canada. Italy, Japan, and the United States fell in between the extremes.[13]

Kenya is one of the countries in which bribery is almost a way of life. One study estimates that as many as two-thirds of individual and business involvements with Kenyan public officials involve paying a bribe.[14] Bribery and corruption is so extensive in China that some studies estimate that the costs of corruption have wiped out the equivalent of 13 percent to 16 percent of the country's gross domestic product (GDP).[15] Many of the former Soviet republics face similar problems.

Yet firms should think twice—or more than twice—before engaging in such behavior, as "Venturing Abroad" indicated. Firms that gain reputations as bribe payers are asked to pay bribes; firms with the opposite reputation often are not. As one expert in the area notes:

> Viable companies can say "no." . . . [T]he U.S. electronics group Motorola not only refused a bribe request from a Latin American official but also said it would not conduct business in that country until the regime changed. Refusal of bribe requests requires a corporate culture that supports the refusal of such requests. One of the most effective means of doing this is with a simple corporate code for managers and employees, affiliates, and potential business partners. At a minimum, the code should refer to the laws that bind the company and prohibit bribery of foreign officials. The code should also describe the decision-making line for bribe requests and assure managers the company will back them when they refuse to pay a bribe.
>
> Building this into the corporate culture . . . can bring competitive advantage. The leading oil company Texaco (now part of Chevron), for example, earned such a fearsome reputation for not acceding to bribe requests that even at remote African border crossings Texaco's jeeps are sometimes waved through without any requests for a bribe.[16]

In Practice

- Most international businesses have adopted formal codes of conduct and systematically provide ethics training to their employees to help them prepare for overseas assignments.
- A strong commitment to ethical standards, in both word and deed, by company executives is critical to creating an ethical corporate culture.

For further consideration: Would you be willing to pay a bribe on behalf of your company? If so, why? Under what conditions? If not, why not?

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Corporate Social Responsibility in Cross-Cultural and International Contexts

5.4. Discuss social responsibility in cross-cultural and international contexts.

As we have discussed, ethics in business relate to individual managers and other employees and their decisions and behaviors. Organizations themselves do not have ethics but do relate to their environment in ways that often involve ethical dilemmas and decisions by individuals within the organization. These situations are generally referred to within the context of the organization's social responsibility. Specifically, **corporate social responsibility (CSR)** is the set of obligations a corporation undertakes to protect and enhance the society in which it functions.

Although definitions of what constitutes CSR can vary from country to country and from organization to organization, the most commonly used framework for defining CSR is the **triple bottom line**, the notion that corporations must consider and balance three objectives in formulating and implementing their strategies and decisions:

- Fulfilling their economic mission, delivering profits for their shareholders, and creating value for their stakeholders
- Protecting the natural environment
- Enhancing the general welfare of society

Some experts succinctly state the triple bottom line as consideration of "people, planet, and profits."

The Economic Mission

In the traditional **shareholder model** of the corporation, a firm's goal is to maximize the after-tax present discounted value of the profits flowing over time to shareholders. This is not an easy task in a highly competitive global economy. Firms can earn profits only by marketing products that consumers are willing to buy at a price they are willing to pay; moreover, they are pressured by their industry rivals to produce these products while using as few of society's scarce resources as possible. However, in the past several decades, the stakeholder model of the corporation has gained prominence, which has made the task of delivering value to shareholders even more complex. Advocates of the **stakeholder model** argue that firms need to consider the interests of other stakeholders as well as shareholders in reaching decisions.[17] Stakeholders are those individuals, groups, and organizations who may be affected by the corporation's performance and decisions. **Primary stakeholders**—those individuals and organizations directly affected by the practices of the organization and that have an economic stake in its performance—include employees, customers, and investors. **Secondary stakeholders** are individuals or groups that may be affected by corporate decisions but are not directly engaged in economic transactions with the firm, such as news media, nongovernmental organizations (NGOs), or the community in which the firm operates.

Most firms understand the importance of treating their stakeholders—particularly their primary stakeholders—in a socially responsible manner. They strive to treat their customers fairly and honestly, pricing their products transparently, honoring product warranties, and standing behind the quality of the products they sell. They respect the dignity and basic human needs of their workforces and provide safe and healthy work environments for their employees. They recognize their fiduciary responsibilities to their shareholders, the ultimate owners of the firm. As part of this fiduciary responsibility, they strive to use corporate resources judiciously, follow appropriate accounting procedures and provide accurate and transparent financial statements, and avoid even the appearance of financial improprieties, such as stock price manipulation, insider trading, or bribery. Such socially responsible behaviors make good business sense because they encourage customers, employees, and investors to buy from, work for, and invest in the firm.

Sustainability and the Natural Environment

The second component of the triple bottom line is protecting the natural environment.[18] Most nations have laws striving to protect and improve the quality of their waters, lands, and air. In some countries, enforcement of these laws is unfortunately weak or lacking. Companies sometimes viewed that following the law—no more, no less—fulfilled their obligations to the natural environment. For instance, when Royal Dutch Shell first explored the Amazon River Basin for potential drilling sites in the late 1980s, its crews ripped down trees and left a trail of garbage in their wake. Fortunately, in many instances companies themselves have become more socially responsible in

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Ecotourism has helped protect Rwanda's famous mountain gorillas and reduced poaching of the animals for their skins and other body parts. Outfitters hire local residents as guides, game wardens, and staff, thereby giving the local community an economic stake in protecting the gorillas and their habitat.

Ricky W. Griffin

fruits and vegetables efficiently. The lodge buys most of what the villagers produce to serve to their guests, providing a sustainable source of revenue for the villagers and fresh "local grown" food for guests.

Less well-known but just as significant are Vietnam's efforts to protect the country's bears, who would otherwise be caged and "milked" for their bile, a traditional ingredient in Asian medicine. Similarly, Indonesia is using the revenues generated by ecotourists to protect its elephant population in northern Sumatra.

Ecotourism is by no means a panacea for protecting against the loss of critical habitat and species endangered by encroachment of human activity, however. Moreover, things are not all black and white. For instance, most respectable safari operators in the Serengeti maintain a safe distance between the animals and their guests and avoid doing anything to upset the animals or change their natural behaviors. But some low-cost tour operators have been known to offer food to animals to entice them closer to safari vehicles (and gain a bigger tip from their guests). This practice, though, changes the natural behaviors of the animals and is condemned by those who practice "true" ecotourism. Nonetheless, by giving members of the local community a stake in protecting critical habitat, ecotourism promises to be an important weapon in promoting global sustainability and in protecting vulnerable and endangered species.

Sources: Based on "Bearing Up," *The Economist*, January 18, 2013; "Gamble in the jungle," *Financial Times*, October 20/21, 2012, p. 8; "Rangers in Congo risk lives for rare gorillas," *Washington Post*, September 21, 2012; "Elephants and eco-tourism in northern Sumatra," http://www.bbcnews.com, June 10, 2011; Nature Conservancy website, http://www.nature.org; "Use them or lose them," *The Economist*, March 6, 2008; "Good news, for a change," *The Economist*, January 22, 2004.

General Social Welfare

Some people believe that in addition to treating their stakeholders and the environment responsibly, business organizations also should promote the general welfare of society. Examples include making contributions to charities, philanthropic organizations, and not-for-profit foundations and associations; supporting museums, symphonies, and public radio and television; and taking a role in improving public health and education. Some people also believe that corporations should act even more broadly to correct the political or social inequities that exist in the world. For example, these observers would argue that businesses should not conduct operations in countries with a record of human rights violations, such as North Korea or Sudan. Recent interest by U.S. firms in oil reserves in western and central Africa have sparked concerns about human rights issues in those areas as well, an issue discussed in one of Part I's closing cases, "A Pipeline of Good Intentions."[25] A related but distinct problem that also is receiving renewed attention is global poverty and the potential role of business in helping to address it. In the Republic of the Congo, for example, 28 percent of the population is undernourished, only 23 percent of the rural population has access to electricity, and 30 percent of the children fail to graduate from primary school. But there are also emerging signs that some countries are beginning to address poverty-related issues. Ghana, for example, is still a poor country; foreign aid constitutes a significant portion of its national budget. But since 2000 the percentage of its population with access to electricity has risen from 45 percent to 80 percent, the prevalence of undernourishment among Ghanaians has been halved, and the infant mortality rate has fallen by a third.[26] Yet as illustrated in Map 5.1, numerous problem areas still exist.

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In Practice

- The triple bottom line approach is the most commonly used framework for characterizing international businesses' corporate social responsibility.
- Adoption of sustainable business practices often adds to a firm's profitability while protecting the environment.

For further consideration: Fair and ethical behaviors toward a firm's primary stakeholders is often in the best interests of the firm's shareholders. Can you think of examples in which this is not the case?

Managing Social Responsibility across Borders

5.5. Identify and summarize the basic areas of social responsibility

As with attempts to manage ethical conduct, businesses usually make some effort to actively address social responsibility. The basic approach they adopt shapes how they manage issues of compliance, the informal dimensions of social responsibility, and the evaluation of their social responsibility efforts.

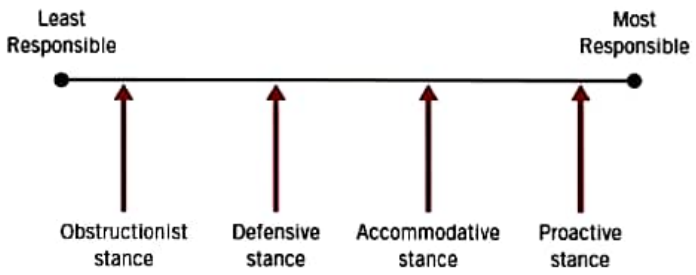
Approaches to Social Responsibility

Firms generally adopt one of four different basic approaches to social responsibility. The four stances, as shown in Figure 5.2, fall along a continuum ranging from the lowest to the highest degree of socially responsible practices.

OBSTRUCTIONIST STANCE Organizations that take what might be called an **obstructionist stance** to social responsibility usually do as little as possible to address social or environmental problems. When they cross the ethical or legal line that separates acceptable from unacceptable practices, their typical response is to deny or avoid accepting responsibility for their actions. For example, a few years ago top managers in several foreign affiliates of Astra, a Swedish firm, were accused of a host of improprieties ranging from sexual harassment to the diversion of company resources for personal use. When these problems first began to surface, top officials in Sweden denied any wrongdoing before they even bothered to conduct an investigation. Similarly, both Nestlé and Danone have been accused of violating international agreements signed in 1981 to control the marketing of infant formulas that serve as substitutes for breast milk. Those agreements stress the importance of breast-feeding. Nestlé and Danone allegedly provided mothers in West Africa with free samples of milk powder and violated labeling standards on infant formula in the countries of Togo and Burkina Faso. The firms, however, deny any such violations and argue that their actions were all technically within the parameters of the agreements.[27] Moreover, both companies now believe that the treaties are outmoded as a result of the HIV/AIDS crisis, arguing that use of infant formulas may reduce the transmission of the virus from infected breast-feeding mothers to their infants.

DEFENSIVE STANCE One step removed from the obstructionist stance is the **defensive stance**, whereby the organization will do everything that is required of it legally but nothing more. This approach is often adopted by companies that are unsympathetic to the concept of social responsibility. Managers in organizations that take a defensive stance insist that their job is to generate profits. For example, such a firm would install pollution control equipment dictated by law but

FIGURE 5.2
Approaches to Social Responsibility



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would not install higher-quality equipment even though it might limit pollution further. Tobacco companies take this position in their marketing efforts. In the United States, they are legally required to include warnings to smokers on their products and to limit their advertising to prescribed media. Domestically they follow these rules to the letter of the law but use more aggressive marketing methods in countries that have no such rules. In many African countries, for example, cigarettes are heavily promoted, contain higher levels of tar and nicotine than those sold in the United States, and carry few or no health warning labels.[28] Firms that take this position are less likely to cover up wrongdoing than obstructionist firms and will generally admit to mistakes when they are identified and then take appropriate corrective actions.

ACCOMMODATIVE STANCE A firm that adopts an **accommodative stance** meets its legal and ethical requirements but will also go beyond these requirements in selected cases. Such firms voluntarily agree to participate in social programs, but solicitors must convince the organization that the programs are worthy of their support. Some firms will match contributions made by their employees to selected charitable causes. And many organizations will respond to requests for donations to Little League baseball, youth football programs, and so forth. Vodafone's local affiliate, for example, sponsors a youth cricket league in Pretoria, South Africa. The point, though, is that someone generally must knock on the door and ask—the organizations do not proactively seek such avenues for contributing.

PROACTIVE STANCE The highest degree of social responsibility that a firm can exhibit is the **proactive stance.** Firms that adopt this approach take to heart the arguments in favor of social responsibility. They view themselves as citizens in a society and proactively seek opportunities to contribute. An excellent example of a proactive stance is the Ronald McDonald House program undertaken by McDonald's. These houses, located close to major medical centers, can be used by families for minimal cost while their sick children are receiving medical treatment nearby. Likewise, Aquafinca, a Honduran subsidiary of Florida's Regal Springs Tilapia, teamed up with the World Wildlife Foundation and two important U.S. distributors, Sysco and Costco, to become the first supplier of tilapia to meet the International Standards for Responsible Tilapia Aquaculture.[29] These and related activities and programs exceed the accommodative stance—they indicate a sincere and potent commitment to improving general social welfare in a country and thus represent a proactive stance to social responsibility. Apple has similarly adopted a proactive policy of trying to minimize the impact of its products on the environment ("People, Planet, and Profits" discusses some of the issues of concern in this industry). As part of this effort, Apple prominently posts a detailed annual environmental progress report on its corporate website. The Body Shop, Ben & Jerry's, Patagonia, and Timberland are four other companies widely admired for their proactive stances regarding social responsibility.[30]

Remember that these categories are not discrete but merely define stages along a continuum of approach. Organizations do not always fit neatly into one category. The Ronald McDonald House program has been widely applauded, for example, but McDonald's has also come under fire for allegedly misleading consumers about the nutritional value of its food products. And even though Astra took an obstructionist stance in the example cited previously, many individual employees and managers at the firm have no doubt made substantial contributions to society in several different ways.

Managing Compliance

The demands for social responsibility placed on contemporary organizations by an increasingly sophisticated and educated public grow stronger every day. As we have seen, there are pitfalls for managers who fail to adhere to high ethical standards and for companies that try to circumvent their legal obligations. Organizations, therefore, need to fashion an approach to social responsibility the same way that they develop any other business strategy. That is, they should view social responsibility as a major challenge that requires careful planning, decision making, consideration, and evaluation. They may manage social responsibility through both formal and informal dimensions. Formal organizational dimensions used to implement a firm's social responsibility include legal compliance, ethical compliance, and philanthropic giving.

LEGAL COMPLIANCE **Legal compliance** is the extent to which the organization conforms to regional, national, and international laws. The task of managing legal compliance is generally assigned to the appropriate functional managers. For example, the organization's top human

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PEOPLE, PLANET, AND PROFITS

E-WASTE

Technological progress is one of the primary driving forces of globalization, as we noted in Chapter 1. Smartphones, high-definition flat screen TVs, desktop computers, laptops, and tablet computers speed information flows and enhance the productivity of workers, as well as the joy of sharing photos and texts with our friends and family. There is a downside to these devices, however: the growing problem of disposing of used or outmoded electrical devices, many of which contain toxic chemicals such as cadmium, lead, and mercury. If disposed of improperly, electronics goods can potentially release hazardous toxic fumes or contaminate ground water supplies. The U.S. Environmental Protection Agency (EPA), for example, estimates that electronic waste (e-waste) accounts for 70 percent of the heavy metals in a typical landfill. The United Nations believes that globally 50 million metric tons of e-waste will be generated in 2018, an increase of 20 percent in four years.

E-waste is the fasting growing waste disposal problem facing both developed and developing countries. The European Union judges that its members generate as much as 11 million tons of e-waste annually, clogging landfills and potentially endangering water supplies. A recent EPA study indicated that in a typical year Americans disposed of 2.4 million tons of electronic products, but that only 25 percent of these would be recycled. China's annual e-waste has reached 2.3 million tons.

Most e-waste is both toxic and valuable because the innards of modern electronics contain metals such as gold, palladium, and silver in concentrations 40 times to 50 times richer than the ores found in commercial mining ventures. Thus, discarded electronic goods can be valuable indeed. High-tech recyclers in developed countries, such as Switzerland's Glencore and Belgium's Umicore, can recover up to 95 percent of these precious metals. However, often lower-tech, dirtier solutions can be more profitable. Guiyu, a city in southern China, is renowned as the e-waste capital of the world. An estimated 150,000 workers are employed in the Guiyu region recycling e-waste through simple, labor-intensive means. Some workers use pliers or clippers to yank chips from memory boards or strip the insulation from cabling to reclaim the copper wire. Others leach out the metals by pouring acid on circuit boards that have been preheated by boiling. Lacking adequate safety equipment, workers—often children—are exposed to toxic fumes, carcinogens, and lead poisoning. Environmental studies indicate high levels of toxic heavy metals, carcinogens, and dioxins in the local air and water supplies. Nigeria and Ghana are home to similar electronic recycling ventures.

After an Italian firm was caught dumping 8,000 barrels of toxic trash in a Nigerian village, the Basel Convention of 1989 established controls over rich countries disposing of their toxic materials by shipping them to poorer countries. But dumping of e-waste is a continuing problem. In January 2013, Nigeria impounded a British vessel and imposed a $1 million fine on importers for trying to discard two containers of e-waste there. Yet a recent study indicates that illegal e-waste continues to flow into Nigeria, with an estimated 60,000 metric tons arriving in 2015 and 2016.

A variety of solutions have been proposed. One approach is to strengthen the Basel agreement by a total ban on e-waste imports. Another solution is "eco-design," encouraging firms to design and manufacture their products with easy salvage in mind. More aggressive encouragement of recycling is also helpful, an approach endorsed by major producers and retailers. Apple, Dell, and Best Buy, for example, have established recycling programs, agreeing to accept e-waste at company-owned or company-sponsored facilities.

Sources: Based on "'Severe problem': EU e-waste illegally shipped to Nigeria, a major study reveals," http://www.businessgreen.com, April 20, 2018; "Electronic waste poses 'growing risk' to environment, human health, UN report warns," news.un.org, December 13, 2017; "United Nations System-wide Response to Tackling E-waste," United Nations Environment Management Group, 2017; "A Cadmium lining," *The Economist*, January 26, 2013; *Electronic Waste Management in the United States through 2009*, Environmental Protection Agency, May 2011; "Garbage in, garbage out," *The Economist*, April 2011; Apple website, http://www.apple.com.

resource executive is responsible for ensuring compliance with regulations concerning hiring, pay, and workplace safety and health. Likewise, the top finance executive generally oversees compliance with securities and banking regulations. The organization's legal department is also likely to contribute to this effort by providing general oversight and answering queries from managers about the appropriate interpretation of laws and regulations.

ETHICAL COMPLIANCE **Ethical compliance** is the extent to which the members of the organization follow basic ethical (and legal) standards of behavior. We noted previously that organizations have increased their efforts in this area—providing training in ethics and developing guidelines and codes of conduct, for example. These activities serve as vehicles for enhancing ethical compliance. Many organizations also establish formal ethics committees, which may be asked to review proposals for new projects, help evaluate new hiring strategies, or assess new environmental protection plans. They might also serve as a peer review panel to evaluate alleged ethical misconduct by an employee.[31]

PHILANTHROPIC GIVING Finally, **philanthropic giving** is the awarding of funds or gifts to charities or other social programs. Giving across national boundaries is becoming more common. For example, Alcoa gave $112,000 to a small town in Brazil to build a sewage treatment plant. And Japanese firms such as Sony and Mitsubishi make contributions to several social programs in the United States. BP has chosen to support numerous social programs in Russia and other former republics of the former Union of Soviet Socialist Republics.

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Max McClure/Alamy Stock Photo

Over 80 million residents of Africa, Latin America, and the Middle East are threatened by river blindness, a debilitating disease spread by black flies. Merck has donated over 2.5 billion doses of Mectizan to help clinics like this one in Togo halt the disease's progress.

Perhaps the most significant international philanthropic program to date is that of Merck, the big U.S. pharmaceutical company, which had developed a heartworm medicine for dogs. In the affluent U.S. market Merck charged $20 to $30 for a dose of the drug. But Merck scientists discovered that their heartworm medicine could also cure onchocerciasis, a disease more commonly known as river blindness. This parasitic disease, spread by biting black flies, causes maddening itching, muscle pains, and weakness. Half of its victims suffer impaired vision, and a sixth lose their eyesight entirely. Yet the people who inhabit the lands that are plagued by river blindness are among the world's poorest. Merck decided to provide the drug, called Mectizan, for free. Working with a variety of partners, including GlaxoSmithKline, local governments, the World Health Organization, and the Bill & Melinda Gates Foundation, Merck has donated more than 2.5 billion doses of Mectizan to people in 33 countries, sparing an estimated 80 million people annually from this terrifying disease.[32]

Unfortunately, in this age of cutbacks, many corporations have also had to limit their charitable gifts over the past several years as they continue to trim their own budgets. And many firms that continue to make contributions are increasingly targeting them to programs or areas where the firm will get something in return. For example, firms today are more likely to give money to job training programs than to the arts than was the case just a few years ago. The logic is that they get more direct payoff from the former type of contribution—in this instance, a better trained workforce from which to hire new employees—than the latter.[33]

Informal Dimensions of Social Responsibility

In addition to these formal dimensions for managing social responsibility, there are also informal ones. Leadership, organization culture, and how the organization responds to whistle-blowers each helps shape and define people's perceptions of the organization's stance on social responsibility.

ORGANIZATION LEADERSHIP AND CULTURE Leadership practices and organization culture can go a long way toward defining the social responsibility stance an organization and its members will adopt.[34] Consider Patagonia, a supplier of high-quality outdoor gear that started as a small specialist provider of mountain-climbing equipment. Its founder, Californian Yvon Chouinard, was a pioneer in the clean climbing movement, which sought to minimize the sport's impact on the wilderness. Under Chouinard's leadership, the firm has made an explicit and comprehensive commitment to environment protection. Its mission statement is straightforward: "Build the best products, cause no unnecessary harm, use business to inspire and implement solutions to the environmental crisis." It has matched these words with deeds that send a clear message to its employees, customers, and suppliers. In 1989, it cofounded the Conservation Alliance with other firms in the outdoor industry to promote protection of the environment. Patagonia organizes workshops to train grassroots environmental groups, gives monies to environmental causes, and funds its employees who wish to serve internships in environmental groups. In one recent year, 50 Patagonia employees interned for groups as diverse as Kenya's Watamu Turtle Programme, Maine's Friends of Casco Bay, and Guatemala's Smithsonian Migratory Bird Center.[35] By contrast, the message sent to BP employees regarding the trade-offs among costs, safety, and environmental protection communicated a different set of priorities, as Chapter 15's opening case discusses.

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WHISTLE-BLOWING **Whistle-blowing** is the disclosure by an employee of illegal or unethical conduct on the part of others within the organization.[36] How an organization responds to this practice often indicates its stance toward social responsibility. In a typical North American company, whistle-blowers may have to proceed through several channels to be heard. Some have even been fired for their efforts, a fate that befell James Bingham, a former executive with Xerox. He attempted to blow the whistle on alleged financial mismanagement in several of the firm's foreign subsidiaries. He claimed that the firm illegally set aside $100 million when it acquired a British firm to use those funds to boost future earnings. He also cited a corporate culture at Xerox that, in his words, "cut bookkeeping corners to make up for deteriorating business fundamentals and to maximize short-term results." Shortly after he made his allegations, Bingham was fired.[37]

Many organizations, however, welcome the contributions of whistle-blowers. A person who observes questionable behavior typically first reports the incident to his or her boss. If nothing is done, the whistle-blower may then inform higher-level managers or an ethics committee if one exists. Eventually, the person may have to go to a regulatory agency or even the media to be heard.

Not surprisingly, attitudes toward whistle-blowing are affected by culture. Because of the traditional strong attachment of the individual to the organization in Japan, for instance, whistle-blowing is often viewed as an act of betrayal, rather than one of integrity. Back in the 1970s, one Japanese salesperson discovered that his boss was engaging in price-fixing. He reported the incident to higher-ups in the organization, who told him to ignore the problem. The salesperson persisted in his whistle-blowing efforts. The company's response was to exile him to a remote subsidiary, where he continued to work in a tiny office—only nine square feet—without a telephone or a pay raise for 27 years. Although whistle-blowing has become more common in Japan in the past decade, it is still frowned on because it disturbs the harmony of the group, or *wa*, a value much prized in Japanese culture.[38] One Japanese religious scholar notes, "Traditionally, betrayal is the biggest crime in Japan, almost worse than murder. The price was *mura hachibu*, or exile from the village."[39] In one well-publicized recent example, Michael Woodford, the newly appointed CEO of Olympus, a major Japanese camera manufacturer, was fired after he uncovered $1 billion of financial irregularities and reported them to Olympus's board of directors. The apparent reason for his dismissal: his whistle-blowing was disharmonious.[40]

Evaluating Social Responsibility

Any organization that is serious about social responsibility must ensure that its efforts are producing the desired benefits. Essentially this requires applying the concept of control to social responsibility. Many organizations now require current and new employees to read their guidelines or code of ethics and then sign a statement agreeing to abide by it. An organization should also evaluate how it responds to instances of questionable legal or ethical conduct. Does it follow up immediately? Does it punish those involved? Or does it use delay and cover-up tactics? Answers to these questions can help an organization diagnose any problems it might be having in meeting its social responsibilities.

Many organizations choose to conduct formal evaluations of the effectiveness of their social responsibility efforts. Some organizations, for instance, routinely conduct corporate social audits. A **corporate social audit** is a formal and thorough analysis of the effectiveness of the firm's social performance. The audit is usually undertaken by a task force of high-level managers from within the firm. It requires that the organization clearly define all its social goals, analyze the resources it devotes to each goal, determine how well it is achieving the various goals, and make recommendations about which areas need additional attention.

In Practice

- International businesses's responses to addressing CSR range widely. Some adopt an obstructionist approach, doing as little as they can to further CSR, whereas other firms embrace CSR as an important part of their business model.
- Many firms routinely conduct corporate social audits to monitor their success in achieving their CSR objectives and to uncover areas of concern.

For further consideration: What factors affect a firm's approach to managing its CSR?

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